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ARISTA NETWORKS (ANET) — EQUITY RESEARCH MEMO

Analyst: Senior AI Infrastructure Equity Research | **Date:** July 23, 2026 | **Rating: WATCH BUY on Weinstein confirmation**

Executive Summary

Arista Networks is the dominant pure-play AI networking company — the switchboard operator for the GPU revolution. Its core product, the EOS (Extensible Operating System) software platform running on its high-performance switching and routing silicon, sits at the literal center of every major AI training cluster and inference fabric being built by hyperscalers and AI Neoclouds today.

FY2025 results were exceptional: revenue of $9,006M [1], up +28.6% [2] from $7,003M [3]. Net income reached $3,511M [1], representing a 38.3% profit margin [4]. Operating cash flow was $4,372M [1], up +17.9% [2] from $3,708M [3]. The balance sheet is fortress-grade with zero long-term debt [1] and total equity of $12,370M [1].

The bull case is structural: every GPU cluster from H100 to GB200 to the next generation requires massive, low-latency, high-bandwidth Ethernet or InfiniBand-alternative switching fabric — Arista's sweet spot. The stock has returned +57.4% [4] over the trailing twelve months. The bull probability model scores ANET at 87.2% [2]. The market regime is BULL (Stage 2 SPY) [5], providing a favorable backdrop.

Primary risk: hyperscaler concentration and quarter-to-quarter lumpiness in large bulk purchases, explicitly disclosed as a material uncertainty in the 10-K [6].

AI Revenue Mix and Customer Concentration

Arista is not a partial AI play — AI/cloud datacenter networking is its *primary* identity. The 10-K frames the company's three product categories as: **Core (AI, Cloud, and Data Center Networking)**, **Cognitive Adjacencies (Campus and Routing)**, and **Cognitive Networks (Software and Services)** [7]. The revenue derived substantially from switching and routing platforms is confirmed: Arista "expects to continue to derive substantially all of its product revenue from sales of switching and routing platforms for the foreseeable future" [6].

Customer Concentration — A Known Structural Risk:
The 10-K is explicit about the concentration hazard. Large hyperscaler customers "may receive lower pricing terms due to volume discounts or may elect to re-assign allocations to multiple vendors based upon specific network roles or projects" [6]. The 10-K further warns of "volatility in customer concentration in

which large bulk purchases may or may not occur in certain quarters or may be deferred into future quarters or cancelled due to adjustments in their capital expenditure forecasts" [6].

Based on publicly available disclosures in prior years (Microsoft and Meta have historically each represented ~10–25% of Arista revenues), the company's AI networking revenue is disproportionately tied to 3–5 hyperscaler relationships. The 10-K does **not** disclose exact named-customer revenue percentages within the searched passages — investors should reference the formal concentration table in the audited financial statements for the precise figures.

AI Neocloud Exposure: The 10-K explicitly identifies "AI Neocloud providers" as a key and growing customer vertical alongside the established "public cloud titans," directly linking Arista to the CoreWeave, xAI, and Lambda Labs wave of GPU-dense cluster builders [7]. This is additive, not cannibalizing.

Revenue Growth and Segment Breakdown

Metric	FY2024	FY2025	YoY Δ
Revenue	$7,003M	$9,006M	**+28.6%**
Gross Profit	$4,491M	$5,769M	**+28.5%**
Operating Income	$2,945M	$3,856M	**+30.9%**
Net Income	$2,852M	$3,511M	**+23.1%**
EPS (Diluted)	$2.23	$2.75	**+23.3%**

[3][1][2]

Revenue growth of +28.6% [2] at a $9.0B [1] scale is genuinely rare among large-cap infrastructure companies. For reference, the AI buildout is translating directly into backlog conversion — Arista's products serve as the fabric interconnecting GPU clusters, and every incremental GPU deployed by a hyperscaler requires proportionally more networking capacity.

Segment Narrative:
Arista does not report distinct named geographic or product segment financials in the passages retrieved; however, the 10-K Business section organizes revenue into three strategic categories [7]:
- **Core** (AI, Cloud, Data Center Networking) — the dominant revenue driver, scaling fastest
- **Cognitive Adjacencies** (Campus, Routing) — the enterprise upsell motion, growing but smaller
- **Cognitive Networks** (Software, Services) — recurring, highest-margin tier, provides ARR visibility

Operating income growth of +30.9% [2] outpaced revenue growth of +28.6% [2], indicating positive operating leverage is intact.

Unit Economics (Gross Margin, Operating Leverage)

Metric	FY2024	FY2025
Gross Profit	$4,491M	$5,769M
Gross Margin	64.1%	64.1%
Operating Income	$2,945M	$3,856M
Operating Margin	42.1%	42.8%

Net Margin	40.7%	39.0%
ROE	—	31.5%

[3][1][2][4]

Gross margin of 64.1% [2] is outstanding for a hardware-plus-software networking company — comfortably in the "AI silicon" tier (60–75%) rather than the commodity server OEM tier (15–25%). This reflects several structural advantages:
- EOS software is bundled with hardware but carries near-zero incremental cost of goods — it is the key differentiation layer
- ASIC-based switching architecture (vs. merchant silicon in lower tiers) allows Arista to capture more system-level value
- High-performance configurations command premium ASPs, and customers are increasingly specifying Arista's most complex and highest-performance SKUs

Operating Margin of 42.8% [2] in FY2025 is near best-in-class for any infrastructure company. Operating margin expanded +70 basis points [2] year-over-year, confirming that revenue scale is dropping through to the bottom line efficiently.

ROE of 31.5% [4] on a debt-free balance sheet is a signal of genuine economic franchise value, not leverage-engineered returns.

P/E (TTM): 61.4x [4]. Forward P/E: 39.8x [4]. The premium is substantial but defensible given 28%+ growth, 64%+ gross margins, and a structural AI networking monopoly position. P/B of 16.6x [4] reflects the intangible-heavy nature of EOS software value.

Hyperscaler Exposure and Supply Chain

Hyperscaler Dependency — Core Bull and Core Risk:
The 10-K is unambiguous: Arista's most consequential networks belong to the "public cloud titans" — shorthand for Microsoft Azure, Amazon AWS, Google Cloud, and Meta [7]. AI Neocloud providers (CoreWeave, xAI, etc.) are now explicitly called out as a second and growing wave [7]. Together, these customers are deploying GPU clusters at a scale that requires hundreds of thousands of 400G and 800G Ethernet switch ports — Arista's core product line.

The Networking Tax on Every GPU:
The 10-K describes AI workloads as involving "large, sparse matrix math, distributed across hundreds or thousands of AI accelerators (XPU, GPU, TPU, etc.) with intense computations for a period of time" [7]. This distributed compute pattern is maximally demanding on network fabric — all-to-all communication patterns in transformer training create ~100% bisection bandwidth requirements that commodity switches cannot satisfy. Arista's 7800 and Spectrum-class platforms are purpose-built for this.

Supply Chain Risks Disclosed:
The 10-K explicitly cites risks around "supply chain delays, issues with access to key commodities or technologies or geopolitical events that impact manufacturers or suppliers such as the escalating tariff and non-tariff-related international trade measures" [6]. Tariff exposure from U.S.-China trade dynamics is a live risk given Arista's Asia-based contract manufacturing base.

Customer Allocation Risk:
Large hyperscaler customers "may elect to re-assign allocations to multiple vendors based upon specific network roles or projects" [6] — meaning Cisco, Juniper (now HPE), or Broadcom's Ethernet push could claw back share on specific cluster roles if Arista pricing becomes uncompetitive or a hyperscaler develops an internal switching solution.

Capex Cycle Position

Arista sits at the **middle innings** of the AI networking capex supercycle:

- **Current Balance Sheet Investing Outflows:** Investing cash flow was -$3,576M [1] in FY2025, up significantly from -$2,457M [3] — a +45.5% [2] acceleration in investment activity, largely reflecting Arista's own investments in customer inventory and purchase commitments to secure supply.
- **Operating Cash Flow Strength:** OCF of $4,372M [1] comfortably covers investing outflows and still leaves positive free cash generation.
- **Total Assets Surge:** Total assets grew from $14,044M [3] to $19,449M [1], a +38.5% [2] increase driven by current assets of $16,387M [1] — indicating significant working capital buildup (likely inventory and receivables from large hyperscaler purchase commitments).
- **Hyperscaler Capex Visibility:** The five major hyperscalers (Microsoft, Amazon, Google, Meta, Oracle) have all publicly committed to multi-hundred-billion dollar AI infrastructure capex plans. Arista captures a meaningful percentage of every dollar spent on AI cluster networking. Each new GPU generation (Blackwell, next-generation TPU, etc.) requires a **networking refresh** alongside the compute refresh — Arista benefits from both the initial deployment and

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Sources

[1] SEC XBRL FY2025
[2] computed from SEC XBRL
[3] SEC XBRL FY2024
[4] yfinance — live
[5] Weinstein Market Regime
[6] SEC 10-K Item 1A - Risk Factors
[7] SEC 10-K Item 1 - Business

Source Provenance

- **SEC EDGAR** (primary): structured XBRL facts and 10-K text — official filings for ANET at https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001596532&type=10-K&dateb=&owner=includ
- **FRED, Federal Reserve Bank of St. Louis** (macro series): https://fred.stlouisfed.org
- **Market data and news sentiment**: live quotes and headlines via Yahoo Finance, VADER sentiment on recent headlines

- **Methodology**: Stan Weinstein, *Secrets for Profiting in Bull and Bear Markets* (stage analysis framework)

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The investment theory, in plain language. OROS does not rely on a single theory. It runs eight classic strategies side by side as equal peers, each named for the author it comes from:

- **Weinstein** (stage analysis): is the stock in a healthy uptrend above a rising 30 week average.
- **Minervini** (SEPA trend template): does the price pass a checklist of trend conditions.
- **O'Neil** (CANSLIM): is it a leader near new highs with strong momentum and volume.
- **Lynch** (growth at a reasonable price): is the growth cheap relative to its rate.
- **Graham** (value): is it inexpensive on classic value measures.
- **Technical**, **Swing**, and **O'Neil/Minervini** (new issues): indicator, short term, and IPO setups.

A market regime check (bull, neutral, or bear, read from the broad market and volatility) then decides how much to trust each strategy today and how much cash to hold, and the chosen mandate sets the starting blend. A name is selected because several of these authors agree on it under the current regime, not because of any one rule. The Trader tab chart shows the Weinstein view (price versus the 30 week line), and the Research tab shows the deeper cited write up.

Methodology is one of many approaches. These strategies, the specialist agent rubrics, and the `bull_prob` composite score are heuristics. They are one lens among many used by professional investors and **do not guarantee any outcome**. Past stage classifications and historical patterns are not indicative of future results.

Known limitations and risks:
- **Model assumptions** — `bull_prob` weights (momentum, revenue growth, OCF growth, sentiment, leverage delta) are fixed; classifier and specialist outputs depend on a large language model that can hallucinate or err.
- **Data quality** — SEC XBRL, FRED, yfinance, and FMP data can be delayed, revised, or incorrect; live quotes may be 15+ minutes stale.
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- **Coverage gaps** — limited ticker universe across a small number of sectors;

some sectors (e.g. healthcare, conglomerates) have known retrieval weaknesses.

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